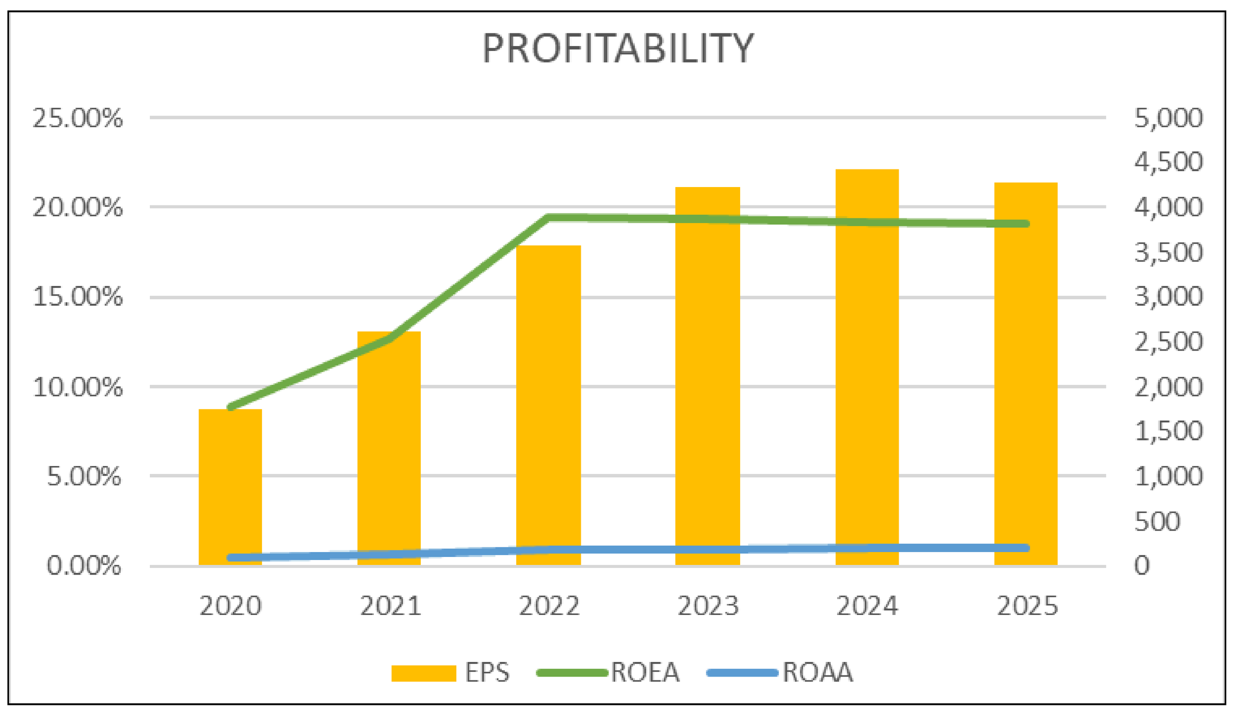
Joint Stock Commercial Bank for Investment and Development of Vietnam (HOSE: BID)

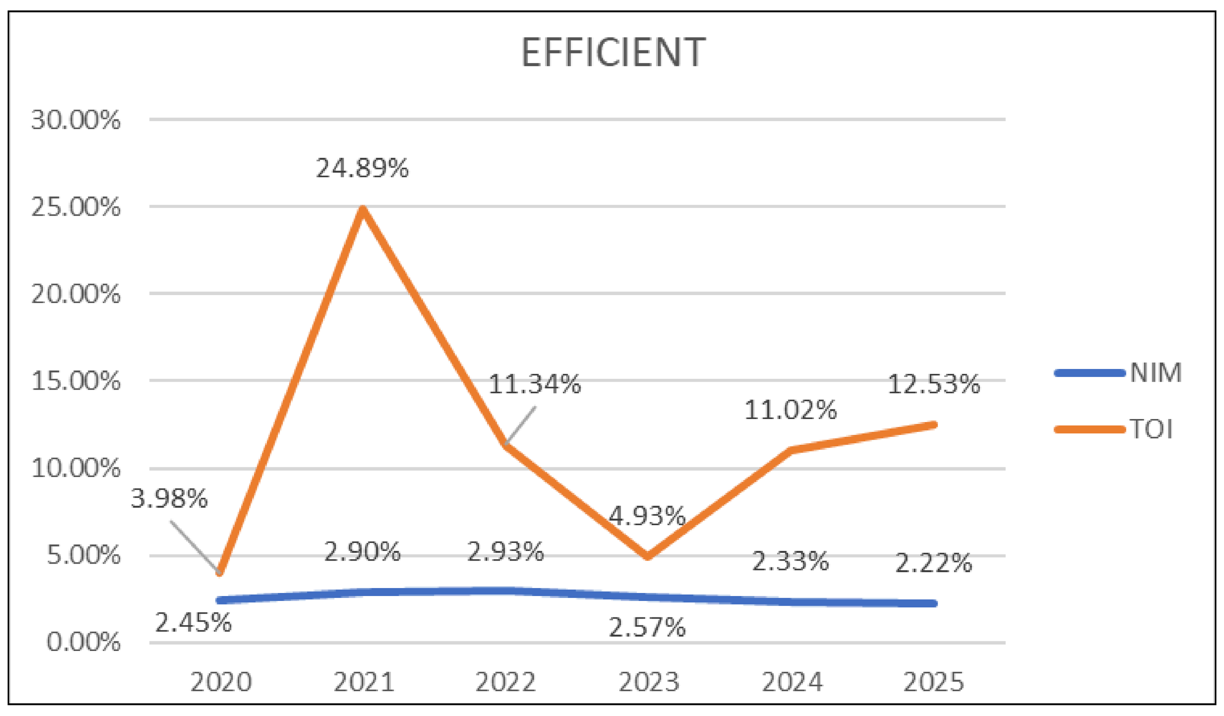
Industry: *Financials/ Banks*

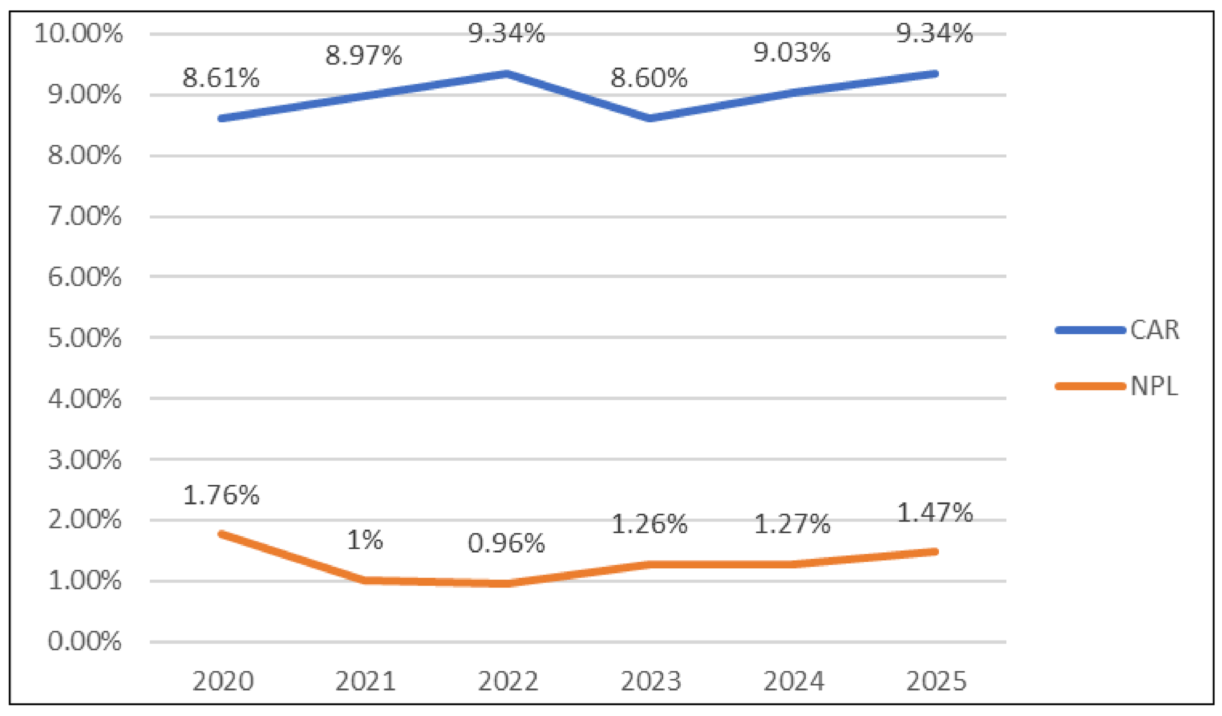
Market Cap.	Total Asset	P/E	EPS	NPL	NIM
305,398.74 BILLION VND	3,331 BILLION VND	9.11	4,270	1.47% ▲	2.22%

Financial performance

BIDV's total operating income (TOI) growth during the 2020–2025 period remained broadly positive, with most years recording double-digit growth, reflecting a steady expansion in business scale. Notably, in 2023, TOI growth slowed to approximately 4.93% due to the State Bank of Vietnam's policy rate cuts aimed at supporting economic recovery. This led to a significant compression in net interest margin (NIM) of around 16 basis points year-over-year.
Profitability improved markedly, with ROE increasing from 8.9% to around 19% and ROA rising from 0.47% to nearly 1%, indicating enhanced efficiency in the utilization of equity and assets. Earnings per share (EPS) also showed consistent growth over the years, suggesting a sustainable earnings trajectory. Meanwhile, the non-performing loan (NPL) ratio was maintained at approximately 1–1.3%, and the capital adequacy ratio (CAR) ranged between 8.6% and 9.3%, reflecting a relatively stable financial safety buffer, albeit with ongoing capital pressure amid strong credit growth.







Medium and long-term prospectus

POSITIVE OUTLOOK **FOR MEDIUM TO LONG-TERM**

Supported by a stable macroeconomic foundation, with Vietnam's GDP growth projected to remain around 6–7% over the medium to long term. This provides substantial room for credit demand expansion and the continued growth of banking activities. In this context, BIDV's growth is driven not only by market dynamics but also closely aligned with the broader development orientation of the economy and the state-owned enterprise sector. Leveraging its large scale and extensive corporate client base, the bank holds a significant advantage in benefiting from accelerated public investment, increasing FDI inflows, and the expansion of wholesale banking activities. Additionally, Resolution No. 79-NQ/TW, which aims to position at least three state-owned commercial banks among the Top 100 largest banks in Asia, serves as a further catalyst for BIDV to expand its scale, strengthen its financial capacity, and enhance its regional competitiveness.

Market position

One of the four largest commercial banks in Vietnam.
Established in 1957, it plays a pivotal role in the national financial system. The bank ranks among the industry leaders in terms of total assets, funding base, and revenue, supported by an extensive nationwide network serving a diverse customer base. BIDV was the largest bank in Vietnam by total assets in 2019 and was **recognized as the "Best Retail Bank in Vietnam" in 2020.**

TIME HORIZON

SUSTAINABLE INVESTMENT CHOICE FOR MEDIUM-TERM INVESTORS

This is supported by the bank's large scale, leading market position, sustainable growth profile, and relatively lower risk compared to the industry average.

3-5 YEARS OR LONGER

Allowing investors to benefit from the growth cycle of the banking sector and the broader economy.

RISK TOLERANCE

MODERATE TO LOW RISK

Although it remains exposed to cyclical and structural factors of the broader economy. This reflects the bank's prudent operating orientation as a state-owned commercial bank.
The bank maintains key safety indicators, such as the capital adequacy ratio (CAR), at levels compliant with regulatory requirements. However, it continues to face capital pressure as its asset base expands rapidly, necessitating ongoing capital injections to sustain growth momentum. Despite challenges related to asset quality—evidenced by a rising non-performing loan (NPL) ratio—and a net interest margin (NIM) that is relatively lower than the industry average, BIDV's large scale and its systemic importance enable it to sustain stable growth. These factors collectively support its overall risk profile at a moderate to low level.